

AMFI



## Association of Mutual Funds in India

135/ BP/96-B/ 2024-25

November 4, 2024

To,

**All AMFI Members**

Dear Members,

**AMFI Best Practices Guidelines Circular No.96- B/ 2024-25**

**Sub: Swing Pricing Framework for mutual fund schemes during (i) Normal times and  
(ii) Upon re-opening of a scheme after announcement of winding-up**

Please refer to SEBI Circular no. SEBI/HO/IMD/IMD-II DOF3/P/CIR/2021/631 dated September 29, 2021 on Swing Pricing Framework for Mutual Fund Schemes, as per which it has been decided by SEBI to introduce swing pricing framework for open ended debt mutual fund schemes (except overnight funds, Gilt funds and Gilt with 10-year maturity funds).

As regards Swing pricing for normal times, SEBI has stipulated that AMFI shall prescribe broad parameters for determination of thresholds for triggering swing pricing for normal times, which shall be followed by the AMCs, and also prescribe an indicative range of swing threshold for normal times (Ref. para I (a)(i) of the circular). Accordingly, AMFI had in consultation with AMFI Valuation Committee had issued AMFI Best Practices Guidelines Circular No.96 dated March 23, 2022, prescribing broad parameters for determination of thresholds for triggering swing pricing to be followed by the AMCs during normal times along with an indicative range of swing threshold for normal times.

Recently, based on the recommendations of Group of Experts and Mutual Fund Advisory Committee, SEBI has advised AMFI to add "Re-opening of Scheme after announcement of Winding Up" as one of the parameters for triggering swing pricing; and prescribe an indicative range of swing factor for the said parameter. SEBI has also advised that AMCs shall make necessary amendments to their Scheme Information Documents (SIDs) to enable swing pricing on re-opening of the scheme after announcement of winding-up and that such an amendment in the SID shall not be treated as fundamental attribute change.

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Accordingly, the parameters for swing pricing upon re-opening of a scheme after announcement of winding-up, based on the recommendations of AMFI Valuation Committee has been provided in Annexures A hereto.

This circular replaces AMFI Best Practices Guidelines Circular No.96 & 96-A dated March 23, 2022 and October 30, 2024 respectively. Members are requested to confirm having noted the contents of this circular for being uniformly adopted / implemented by all AMCs and to place this circular before their Trustees for information at the next meeting of the Trustees.

Members are also advised to make necessary amendments to their SIDs to enable swing pricing on re-opening of the scheme after announcement of winding-up on a priority and confirm to AMFI.

Best regards,



**Venkat N. Chalasani**

**Chief Executive**



## ANNEXURE A

### Parameters for Swing Pricing by Open Ended Debt schemes

#### (I) Triggering Swing Pricing during Normal Times

The following are base parameters laid out by AMFI pursuant to SEBI Circular no. SEBI/HO/IMD/IMD-II DOF3/P/CIR/2021/631 dated September 29, 2021 on Swing Pricing Framework for Mutual Fund Schemes and all AMCs shall use these parameters as the trigger (floor) for activating Swing Pricing during normal times, if the AMC decides to invoke/implement the swing pricing framework for normal times.

#### **A. Threshold for Triggering Swing Pricing** during Normal Times for all open-ended debt scheme (excluding overnight funds, Gilt funds, and Gilt funds with 10-year maturity):

- a. 10% net flow from any debt scheme other than Liquid scheme.
- b. 15% net flow for Liquid scheme.

The thresholds have been kept reasonable to ensure that normal redemption flows should not be penalized with Swing pricing.

At the same time, the floors are not very high to ensure that the Swing pricing would typically get triggered before the LRM allocations are exhausted. Secondly, a moderate floor will also allow individual AMCs to take care of the relative liquidity on the asset side for different type of schemes. **These are floor triggers and AMCs are free to set these limits higher, depending on the dynamics of their schemes both on liability side and on asset side.**

#### **B. Indicative Range of Swing Threshold:**

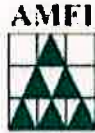
The Indicative range of the Amount of Swing factor based on the PRC matrix is as follows:

|   | a     | b     | c     |
|---|-------|-------|-------|
| 1 | 0.00% | 0.05% | 0.20% |
| 2 | 0.05% | 0.10% | 0.40% |
| 3 | 0.10% | 0.20% | 0.60% |

The above numbers have been arrived at by:

- Creating model portfolios for various PRC boxes.
- Imputing impact cost of sales under normal market conditions
- Segregating the impact cost into explained (market movement which is already expected to be reflected in day end NAV), and unexplained (not fully captured in day end NAV due to lack of adequate trading / polling data).
- Calculating the Swing amount based on the unexplained part
- Rebounding off higher.
- A model calculation for illustrative purposes is provided in the attached excel file named Swing Pricing Workings.xlsx

It may be noted that these are floor swing amounts and the AMCs are free to set these limits higher, depending on the dynamics of their schemes both on liability side and on asset side.



**(II) Triggering Swing Pricing on re-opening of a scheme after announcement of winding-up**

- a) There may be instances where an AMC, after making an announcement to wind up a scheme, decides to roll-back the decision to wind up the scheme. Such situations may trigger large scale redemptions and hence, it would be prudent to invoke the Swing Pricing mechanism to manage such a situation. In other words, if an AMC decides to reverse its decision to wind up the scheme, it shall mandatorily invoke the Swing pricing upon re-opening a scheme for subscriptions and redemptions post such announcement.
- b) The indicative range of swing pricing for the parameter of "*Re-opening of the scheme after announcement of Winding-up*" shall be the same as applicable for swing pricing during normal times as mentioned hereinabove, and shall be for higher of swing period as may be decided by the Board of AMC or for a minimum of 7 working days as per AMFI BPC upon re-opening a scheme for subscriptions and redemptions).

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